

TO BUY USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Set the chart to your preferred timeframe.

Apply Donchian Channel with default settings.

Let the price touch the upper band and take a pullback.

The pullback should be followed by a rise in the price and a breaking of the upper band.

Once this pattern is spotted, the **BUY** trade is triggers.

Place **STOPLOSS** below the middle band: trail the SL to the first candle's low when the market makes two bullish candles in a row.

TARGET is typically 1:2 Risk to Reward ratio.

Note that in the above example, Nifty 50 touched the upper band at 11:45 p.m. followed by a pullback. The price then again touched the upper band and started to move up. This is the time we entered the trade. The stoploss was at the middle band, and typically, we booked a profit with a 1:2 Risk: Reward ratio. Also, if you tweak the execution a bit. I.e. trailing the stoploss till the breakout candle's low after the price makes two bullish candles, you will get a whopping Risk to Reward ratio of 1:4.